greenhorns too had it easy, making money by trading stocks. This encouraged them to take even bigger bets without much thought as to the consequences. This was a worrying sign for the seasoned players because traditionally, bull markets have peaked whenever retail investors have stampeded their way through the bourses.

A stock can be traded only if there is both a buyer and a seller for it. If there are no sellers, buyers will not be able to buy. Trading in scores of stocks would be regularly frozen for want of sellers. Prices would leap 8, 10 or 16 per cent, depending on the intra-day limit set by the stock exchanges for the stocks.

As the ICE stocks chased each other to new highs, the pedigreed old-economy names floundered in the absence of investor interest. The list of ignored stocks included Reliance Industries, Tata Steel, TELCO, ACC, Grasim, SBI, ITC, Hindustan Lever and Bajaj Auto – once the most sought-after stocks on the bourses and indicators of market sentiment. These companies were spoken of disparagingly by fund managers and brokers, many of them now convinced that these firms had outlived their utility and would be driven out of business before long.

As for the much-acclaimed new-economy stocks, the majority of them were quoting at unrealistic prices that had long lost all connect with the stock fundamentals. I have never believed in the concept of a fair price for a stock. Price is something that investors are willing to pay at any particular point in time. Almost 99 per cent of the time, stocks are quoted below or above their true worth. My theory is that there is a price at which you can hope to make a decent return, and that price need not be a fair one. But right now, it was the ‘greater fool’ game in full swing. People bought stocks at ridiculous prices, confident that somebody else would buy them at even more preposterous prices.

Value investors like Radhakishan Damani, Rakesh Jhunjhunwala and many old-timers considered technology stocks overvalued, and short-sold them. But the stocks rallied even more, forcing them to square up their positions at a loss. The bears would wait for a while, and again short-sell at a higher price, hoping to recoup their losses. The effect would be the same; they were simply making more losses as the stocks continued to climb. It was an open secret that many stocks owed their lofty valuations to promoters funding brokers and operators to rig their price. Bears had reason